

Japan Automobiles: Asia Investor Feedback: Interest is Returning

In mid-July, we conducted meetings with investors in Hong Kong and Singapore. Our impression was that interest is high in OEMs, particularly Honda and Toyota, and in tires, notably Yokohama Rubber and Sumitomo Rubber. Discussions regarding auto parts were generally limited. Meanwhile, humanoid robotics emerged as a theme of growing interest, catalyzed by recent announcements from Mitsubishi Motors.

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For OEMs, market interest appears to be returning, supported by the ongoing depreciation of the yen and solid US sales during the April–June quarter. Honda attracted the highest level of interest, driven by its significant US exposure and the continued strong momentum of its motorcycle sales. Regarding Toyota, compared to our visit a few months ago, we received a notably higher volume of questions concerning upside risks, specifically the potential magnitude of earnings beats for the current fiscal year and future capital allocation strategies.

In contrast, investor sentiment toward auto parts manufacturers remains generally bearish. Following consecutive announcements from major OEMs, led by Honda and Mitsubishi Motors, targeting vehicle cost reductions of several hundred thousand yen, there is a strong concern that full-scale competition with Chinese component manufacturers is beginning. In particular, many investors expressed concern for parts suppliers that have maintained relatively high profitability in China and the broader Asian region.

For tire manufacturers, despite lingering geopolitical instability in the Middle East, discussions were constructive, underpinned by successful price hikes. Yokohama Rubber garnered the strongest interest, supported by its expanding market share and low-cost production capabilities. We also fielded numerous questions regarding Sumitomo Rubber, with investors looking ahead to its scheduled new product launches next fiscal year.

Interest in the robotics sector is also rising. In addition to evaluating Mitsubishi Motors' plans for the mass production of humanoid robots (targeting 1,000 units per month starting in 2027), we had many opportunities to discuss the medium-term growth prospects of legacy players like Toyota and Honda, both of which have focused on robotics for many years. However, many investors remain skeptical about how latecomers can successfully differentiate themselves in humanoid robotics, given that US and Chinese companies currently hold an overwhelming market share, particularly regarding AI brains and sophisticated actuators featuring 60 to 70 degrees of freedom (DOF).

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